❖ Horizon Asset Management, Inc. ❖

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Interim Market Commentary

Securities Exchanges

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Securities exchanges, which comprise a significant sector weighting in most Horizon strategies, attract much controversy. They did so over three years ago before they appreciated tremendously on sequential years of rising volumes and expanding operating margins; they do now, following tremendous depreciation and a quarter or so of mixed volume results. With great attention now being paid to balance sheet strength and the business risk that now threatens any company that might require external funding, few businesses are as secure as exchanges. As business models, exchanges are more akin to data management platforms than financial companies. They do not require debt for their operations and, where it exists, was raised in order to acquire a competitor, which is a greatly accretive to earnings. Debt leverage is low or non-existent, net profit margins are among the highest among large-scale businesses, and the P/E ratios are now deeply discounted relative to the broad stock market, as this summary review shows:

			Net Debt	Last Qtr	P/E Ratio	
	Recent	Market	% of	Net Profit	9 Months	Consensus
Exchange	Price	Capitaliz.	Assets	Margin	Run Rate	2009E
NYSE Euronext	$ 20.52	$ 5,438	12.3%	14%	6.8	7.1
Nasdaq-OMX	17.70	3,543	15.9%	15%	8.8	7.3
London Stock Exchange	7.47	2,022	2.1%	24%	8.2	8.6
CME Group	175.25	11,738	5.6%	25%	11.3	9.1
Deutsche Borse	66.84	13,034	0.6%	42%	9.5	9.4
Hong Kong Stock Exchange	7.29	7,836	0.0%	70%	11.5	12.2
Singapore Exchange	3.05	3,262	0.0%	53%	11.5	10.9
CBOE (private, via Urbana)			0.0%	29%		
Bombay Stock Exch. (private, via Urbana)			0.0%	42%		
S&P 500 (earnings estimates from S&P)	806.58			11%	12.1	16.4

($ in millions except per share data)

As the venues in which investors transact, whether to purchase, sell, or to hedge risk, exchanges capture an ever evolving mix of transactions types and tools. They take no risk in a trade, since they simply collect fees, and investor focus on market share is actually a red herring – since exchanges have a negligible marginal cost of revenue, rising volume is more significant than market share. One of the most dynamic and rapidly growing exchanges, the CME, has been losing market share for decades, and gladly so, as the increasing number of global venues for trading futures and derivatives has provided more trading opportunities for market participants.

On a cyclical basis, when some types of contracts, such as interest rate futures or cash equity trading, might decline, others such as currency or equity index futures might be rising. This can be observed in various exchange financial reviews, depending upon their product mix:

NYSE Euronext	Q3 08 vs Q307	Q2 08 vs Q2 07
U.S. cash products (shares)	+17%	+5%
Sub-set, ETFs	+97%	+85%
European cash products (shares)	+16%	+14%
U.S. equity options	+38%	+32%
European derivative products	-10%	+18%
Interest rate products	-22%	+21%

On a secular basis, new tools and security types become ascendant, while others might decline.

- ETFs, for instance, which represent a mere 5% or so of mutual fund assets, provide a growing array of valuable investment, hedging, diversification and liquidity tools that are barely beginning to be appreciated in the broader market. Their application is important not only to equities, but to bonds and other asset classes as well. Consequently, volumes are rising dramatically for this security class, from a very small base. One advantage for the exchanges is that the turnover of an ETF can easily be 2,000% to 3,000% greater than for a mutual fund or than for the underlying stocks that constitute the ETF. At NYSE Euronext, ETFs now account for major portion of total cash equity trades.
- Similarly, the potential for options is enormous. Whereas institutions account for the overwhelming majority of stock trading, they account for only a modest minority of options trading. This has been due to an absence of historical and current price and market data, and resultant low volume and wide bid/ask spreads. As more technologically advanced trading platforms answer this deficit, the volume of options trading can expand enormously.
- Derivatives clearing represents another large-scale secular opportunity. That the over-the-counter derivatives markets account for about 85% of all derivatives trading (which is to say that less than 20% of derivatives are traded on an exchange) has come to be seen as posing systemic risk to the financial system. Regulators will require that exchanges begin to provide organized clearing house mechanisms for trading at least some portions of the over-the-counter market, such as credit default swaps. The CME intends to begin clearing some CDS before year-end, and both Nasdaq and NYSE Euronext are planning to engage in this activity as well. Whatever value lies in trading equities for the exchanges, the derivatives markets dwarf the equity market in size.
- Data provision has become increasingly important as well. This has growth with the ability of modern trading platforms to capture, for institutional traders, forms of data not previously provided, and to provide more sophisticated and timely data.

CME Group, Inc.

CME Group, as the world's largest derivatives exchange, is a business model that requires no debt and has virtually no marginal cost of revenue. In fact, as of June 30th, it had no debt, and \$1.1 billion of net current assets. This changed for the September 30th balance sheet, due to the August acquisition of NYMEX. It now has \$2.4 billion of long-term debt; yet, this is set against run-rate net income of \$1.1 billion per annum. Upon a 15% increase in revenues, through June, operating expenses rose only 1%, such that net income rose by 21%, and the net after-tax profit margin rose to 35.7% from 34.0%. There are exceedingly few businesses that can attain margins this high on a normalized basis. For all of this, the P/E ratio on run-rate earnings is approximately 11x.

One of the greatest opportunities in CME's history of dramatic opportunities is still before it. This is to clear credit default swaps and other over-the-counter derivatives trades that, through counterparty risk, have posed a systemic risk to the financial system. On October 10th, the NY Federal Reserve hosted a meeting to discuss industry progress toward providing centralized counterparties for credit default swaps. CME states that, despite the enormous volumes of derivatives and futures that it trades, and despite the leverage employed in these contracts, no customer has ever lost funds due to counterparty failure. That is the clearing mechanism that works, and CME intends to begin trading and clearing credit default swaps in the coming weeks.

Urbana Corp.

Urbana is an investment company that purchases interests in securities exchanges, both public and private exchanges. While its four largest holdings account for 90% of its net asset value, three of these are private and account for over 50% of its NAV. These include the CBOE, which is the largest options exchange in the U.S., and the Bombay Stock Exchange, the oldest stock exchange in Asia, and India's second largest exchange; they are the largest and third largest holdings, and both are private. The CBOE is likely to be acquired by another U.S. exchange in the near future; the Bombay exchange is planning to become public within the next year. Urbana is the only practical method of acquiring an interest in these, short of purchasing a seat or membership, yet as of mid-November, Urbana trades at a 35% discount to its NAV. It has begun to repurchase its own shares.

If exchanges serve as one of the central funding mechanisms for the private sector of the nations or regions they serve, then those in emerging economies, in which the capital markets are insufficiently developed, must expand to a far greater degree than the economy at large. India, with a roughly 8% GDP growth rate that is largely driven by production for internal consumption (i.e., not export driven), and with a population in excess of 1 billion with a rapidly expanding middle class, has only two securities exchanges. For the fiscal year ended March 2008, Revenues rose by 70%, and earnings per share by 82%, despite a tripling of its advertising budget. The net current assets on the balance sheet exceeded 90% of total assets. Deutsche Boerse and Singapore Exchange, which each purchased a 5% interest this past year, were just offered Board seats, as Bombay prepares to compete more effectively and come public.

The CBOE, for the nine months ended September 2008, recorded a 23% increase in revenue, operating expense rose by 6%, and net income by 52%. Net current assets, approximately equal to cash balances, amounted to 50% of assets, and the company carried no debt.

Singapore Exchange

Singapore Exchange is establishing itself as the financial hub of Asia: it trades shares, derivatives, and options and also acts as clearing agent; it is like owning a consolidation of the NYSE, International Securities Exchange and the CME. Similar to other exchanges noted above, Singapore Exchange has no debt, and net current assets, roughly equivalent to cash balances, amount to 80% of shareholders' equity and 50% of total assets.

During the September 2008 quarter, revenues declined by 28% from the prior year's September quarter, expenses by 8%, and net income by 35%. Nevertheless the return on equity, annualized, was 38%, and the net profit margin was 53%. If this level of profitability were to be the normalized level, then the P/E ratio, based on the recent trading price, is about 14.8; exclusive of the net cash balance, the P/E would be 12.6. On the other hand, if earnings for the fiscal year that ended June 2008 were the normalized level, then the P/E ratios, as above, would be 11.5x and 9.8x.

Hong Kong Exchanges & Clearing

The Hong Kong Exchange balance sheet current assets, net of both short- and long-term liabilities, amount to over 70% of shareholders' equity. It must be observed that China is the world's second largest economy, its fastest growing major economy, its worst performing major market – down well over 60% this year – has a currency that is massively undervalued versus the US dollar, and contains large, rapidly growing, sector-dominant companies, *and* has a zero weighting in the MSCI indices of world stock markets. The latter is a circumstance that cannot continue for much longer, which is to say that at some point in the foreseeable future, institutional funds will be forced to shift assets into China upon its induction into these indices, even if on a modest basis. Meanwhile, China's capital markets must ultimately absorb the burgeoning savings of its growing middle class, and Hong Kong Exchanges is a major beneficiary of a capital market that can expand to many times its current size.

NYSE Euronext

At Sept. 30th, with an AA/A1 debt rating, run-rate net income is $192 million, based on Q3 08. Anticipated savings next 2 years from technology (Euronext merger) and American Stock Exchange adds about $182 million, so net per share, exclusive of growth would be about $3.58/share. With the shares at $25, the P/E is less than 7x. Debt of $1.8 billion may be compared with consensus 2009 net of $837 million.

Croupier-type business that captures a growing variety of transaction activity: less than 15% of revenues now from U.S. stock trading, with larger proportions from European stock trading and derivatives trading (e.g., equity options, interest rate contracts, equity index contracts, etc.), along with providing market data and other services. Accounted for well over 50% of total ETF assets in the U.S., prior to the pending acquisition of the American Stock Exchange, which has the next largest share of ETF trading; now the 3rd largest US options exchange.

To understand the growth potential of trading vehicles, since the financial markets are constantly evolving and reacting, note that the number of ETF shares executed at the NYX (avg. daily volume) in Q3 08 was 623 million vs 233 million in the prior year; moreover, this represented 22% of the NYSE-listed issues volume matched on the NYSE in Q3 08 vs 13% the prior year. ETFs are only in the initial stages of market penetration.

Other sources of growth: the Bclear subsidiary of Euronext registers and clears OTC trades on 1,000 underlying securities for European, U.S. and Asian derivatives. A major thrust in imposing greater regulation on risky financial market transactions will be to require over-the-counter derivatives trades, which dwarf the equity markets in size, to be made through a clearing house so as to eliminate counterparty risk – Bclear is preparing to expand its clearing capabilities into the U.S. market. The Sept. 08 year-to-date Bclear volume was up 62% over 2007.

Nasdaq OMX Group

Trades at 10.4x consensus estimates of 2009 earnings. No debt maturing before 2012; of that debt, balance sheet cash equals more than 50%, and net income amounts to another third. One, among many sources of growth: the Nord Pool subsidiary of OMX Group. This is the largest electric power derivatives exchange and the second largest exchange in European Union emission allowances. There are some estimates that the market for carbon and other greenhouse gas emission credits can exceed equity market activities in ultimate size.

As of Sept. 30th, year-to-date matched share volume in all U.S.-listed equities rose by 47% over the same 2007 period.

London Stock Exchange

Trades at 8.0x earnings for the year ended March 2008, with a dividend yield of 4.1%. Cash balance approximately equals debt, and annual income exceeds two-thirds of total debt.

As of Sept. 30th, year-to-date trading volumes have been as follows, versus 2007:

U.K. equities	+46%
Italian equities	(4)%
International equities	+32%
ETFs	+24%
Derivatives	+25%